

Caribbean Central Bank Completes Roll Out of Pioneering E-Money

Island becomes eighth, final nation to have access to DCash

Adoption of the pioneering CBDC has been flat, officials say

By Jim Wyss

(Bloomberg) -- The Eastern Caribbean Central Bank rolled out its digital currency, DCash, in Anguilla -- the eighth and final member of its economic bloc -- even as use of the pioneering e-money remains flat.

The digital version of the Eastern Caribbean dollar became available to Anguilla's 15,000 residents on June 29. DCash, which launched in 2021, was the first central bank digital currency, or CBDC, to be introduced in a currency union.

Unlike its cryptocurrency counterparts, CBDCs are government issued and pegged to the national currency, making them more immune from the speculation that has roiled other digital assets like Bitcoin and Ether. DCash, which can be stored and sent over mobile phones, eliminates transfer fees. The bank expects it to boost trade, pull more people into the banking system and deepen ties between the far-flung Caribbean islands.

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"We have to transform our region including the way it does business -- and building out the digital economy for our Currency Union is a central tenet of our strategy," bank Governor Timothy N.J. Antoine said in a statement, calling the addition of Anguilla "an important milestone" in the project's evolution.

DCash is now legal tender in Anguilla, Antigua and Barbuda, Dominica, Grenada, Montserrat, St. Kitts and Nevis, Saint Lucia, and St. Vincent and the Grenadines.

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Despite the push, DCash adoption has been slow and problematic during its pilot phase. Usage rates have not seen "a substantial change" since March, when some 4,000 people had downloaded DCash wallets and more than 120 merchants were accepting the currency, a bank official said this week.

As governments around the world mull issuing their own CBDCs, the Caribbean region has emerged as a front-runner and a test case. The Bahamas is credited with minting the world's first functioning CBDC, the Sand Dollar, in 2020. And a year later, Jamaica issued its digital currency, Jam-Dex.

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